

M/S Medvantage Innovation Pvt. Ltd. v. Kanpur Electricity Supply Company Ltd. and Another

Allahabad High Court · Division Bench · 7 February 2018 · Writ - C No. 5220 of 2018 · **Prima facie Clause 5.6(c)(ii) three-month slow-meter cap; restoration on Rs. 3 lakh deposit; writ remains pending**

HEADNOTE

Where a meter is found defective and slow, the consumer agrees to the inspection report, and the licensee raises a slow-meter assessment for a period longer than three months, Clause 5.6(c)(ii) of the U.P. Electricity Supply Code, 2005 confines bill adjustment to the previous three months prior to the month in which the dispute arose. Prima facie, the consumer can be charged only for that three-month window. A Division Bench directed restoration of the disconnected supply within a week if Rs. 3 lakh (the average assessment for those three months) was deposited within one month, subject to there being no outstanding current bills, and required continued payment of regular bills. A counter was called. The assessment of Rs. 10,08,031 for August 2016 to June 2017 was not finally quashed. Later listings through 4 April 2019 added no construction; the writ remains pending.

FACTUAL SUMMARY

M/S Medvantage Innovation Pvt. Ltd., Kanpur Nagar, held a connection from Kanpur Electricity Supply Company Ltd. Its meter was inspected in August 2017 and found defective and slow. On a double-pole meter installed outside the premises, the licensee treated the meter as slow since August 2016 and raised an assessment of Rs. 10,08,031 for August 2016 to June 2017. The consumer agreed to the inspection report. Counsel submitted that Clause 5.6(c)(ii) of the U.P. Electricity Supply Code, 2005 confined adjustment to the previous three months prior to the month of dispute, so a demand for the whole period was illegal. Future bills had been deposited, yet the connection was disconnected. The licensee said disconnection followed default on regular bills.

On 7 February 2018 Krishna Murari and Ajay Bhanot, JJ. recorded a prima facie view on Clause 5.6(c)(ii), called for a counter, and directed restoration on deposit of Rs. 3 lakh as the three-month average, subject to outstanding current bills. Later order-sheets through 4 April 2019 only granted time, listed the matter, and released it on a roster change.

REUSABLE CONSTRUCTIONS

1. Where a meter is found fast or slow and the consumer agrees to the licensee's report, Clause 5.6(c)(ii) of the U.P. Electricity Supply Code, 2005 requires replacement of the meter within 15 days and confines bill adjustment to the previous three months prior to the month in which the dispute arose. ¶ 3, 6
2. A slow-meter demand for a period longer than those three months is, prima facie, contrary to Clause 5.6(c)(ii) even if the consumer agreed to the inspection report. ¶ 2, 4, 6
3. Interim restoration of a disconnected supply may be conditioned on deposit of a sum representing the average assessment for those three months, together with any outstanding current bills, and on continued payment of regular bills. ¶ 9

HOLDING-UNITS

HOLDING-UNIT · UP-2005::5.6(c)(ii)

Slow-meter difference chargeable only for the previous three months where the consumer agrees to the report; restoration on a three-month average deposit

QUESTION

Where a meter is found slow and the consumer agrees to the inspection report, may the licensee assess slow-meter consumption for a period longer than the previous three months prior to the month of dispute?

HOLDING

Prima facie, no. Clause 5.6(c)(ii) provides that if the meter is found fast or slow and the consumer agrees to the report, the meter shall be replaced within 15 days and bills of the previous three months prior to the month in which the dispute arose shall be adjusted as per the test results; if the meter is slow, the charges may, at the consumer's request, be recovered in not more than three instalments. The Court held that the petitioner can only be charged for those three months. Restoration of the disconnected supply was directed on deposit of Rs. 3 lakh, described as the average assessment for the last three months when the dispute arose, within one month, to be restored within a week, subject to no outstanding current bills, with regular bills to be paid as raised. A counter affidavit was called. The assessment of Rs. 10,08,031 for August 2016 to June 2017 was not finally quashed. ¶ 3, 6, 9

QUALIFIER

Prima facie and interlocutory (7.2.2018, Krishna Murari, J. and Ajay Bhanot, J.). Writ remains pending.

FLAG Unnumbered 7.2.2018 order treated as paras 1–9 (facts; 5.6(c)(ii) contention; quoted clause; further submission; licensee's regular-bill default case; prima facie three-month cap; counter; rejoinder and listing; restoration on Rs. 3 lakh). Subsequent order-sheets of 9.4.2018, 24.4.2018, 2.7.2018, 2.1.2019, 9.1.2019, 6.2.2019 and 4.4.2019 are time for pleadings, adjournment, illness-slip pass-over, and release on roster change; they add no construction. Catalog hits on Clauses 4.4, 4.40–4.45, 4.49 and occupier/owner-consent tags are false positives — only Clause 5.6(c)(ii) is cited.

PRINCIPLE TAGS

slow-meter-difference-only-three-months-clause-5.6cii Where the consumer agreed to a slow/defective-meter report, the Court held prima facie that Clause 5.6(c)(ii) confines the charge to the previous three months prior to the month of dispute, so a demand from August 2016 to June 2017 could not stand for the whole period. Same cluster as SCJ-203. ¶ 3, 6

interim-restoration-on-part-payment-pending-assessment-challenge Pending the slow-meter assessment challenge, supply was directed to be restored on deposit of Rs. 3 lakh (the average assessment for the last three months), subject to outstanding current bills, with regular bills to be paid as raised. ¶ 9

procedural-listing-no-construction After the 7.2.2018 interim, the source comprises pleading-time, listing, adjournment, illness-slip, and roster-release orders through 4.4.2019; the assessment was not finally decided. ¶ 10-16

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — FINAL VALIDITY AND QUANTUM OF THE RS. 10,08,031 SLOW-METER ASSESSMENT FOR AUGUST 2016 TO JUNE 2017

Only a prima facie three-month cap and an interim deposit; a counter was called and the writ remains pending. ¶ 6, 7, 9

NOT DECIDED — WHETHER DISCONNECTION WAS FOR THE SLOW-METER DEMAND OR FOR DEFAULT ON REGULAR BILLS

The licensee said disconnection followed default on regular bills; the Court restored supply subject to outstanding current dues without deciding the cause of disconnection. ¶ 4-5, 9

NOT DECIDED — WHETHER FUTURE OR CURRENT BILLS HAD IN FACT BEEN DEPOSITED

The petitioner said future bills had been deposited; restoration was conditioned on there being no outstanding current bills. ¶ 4, 9